

Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

60

YEARS

Moore's Law

Delivered the compute horsepower to process exaflops of data

40

YEARS

The Internet

Produced trillions of tokens of training data, accelerated by COVID

20

YEARS

Mobile & Cloud

Put a supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

startup revenue in months — a milestone that took SaaS years, not months, to reach

ChatGPT

**Fastest-growing app
in history**

Strong product-market fit among
students and developers

Midjourney

**Hundreds of
millions in revenue**

With a team of just 11 people

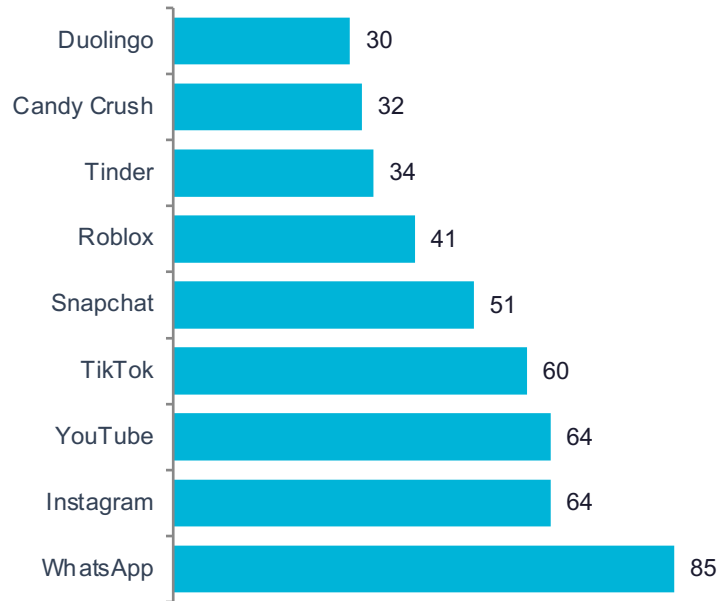
Character.ai

**2-hour average
session time**

Popularized AI entertainment
and companionship

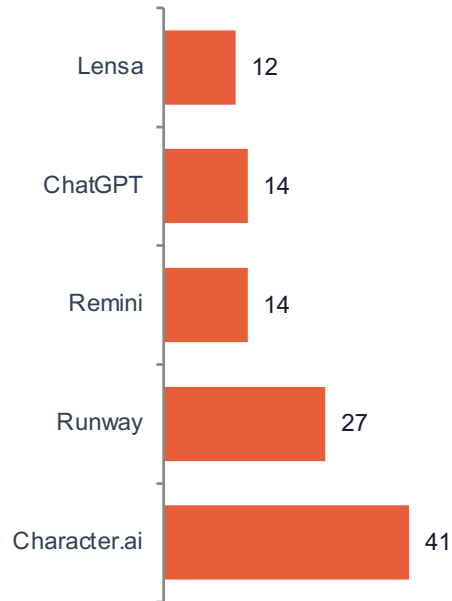
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

INCUMBENTS



Median: 51%

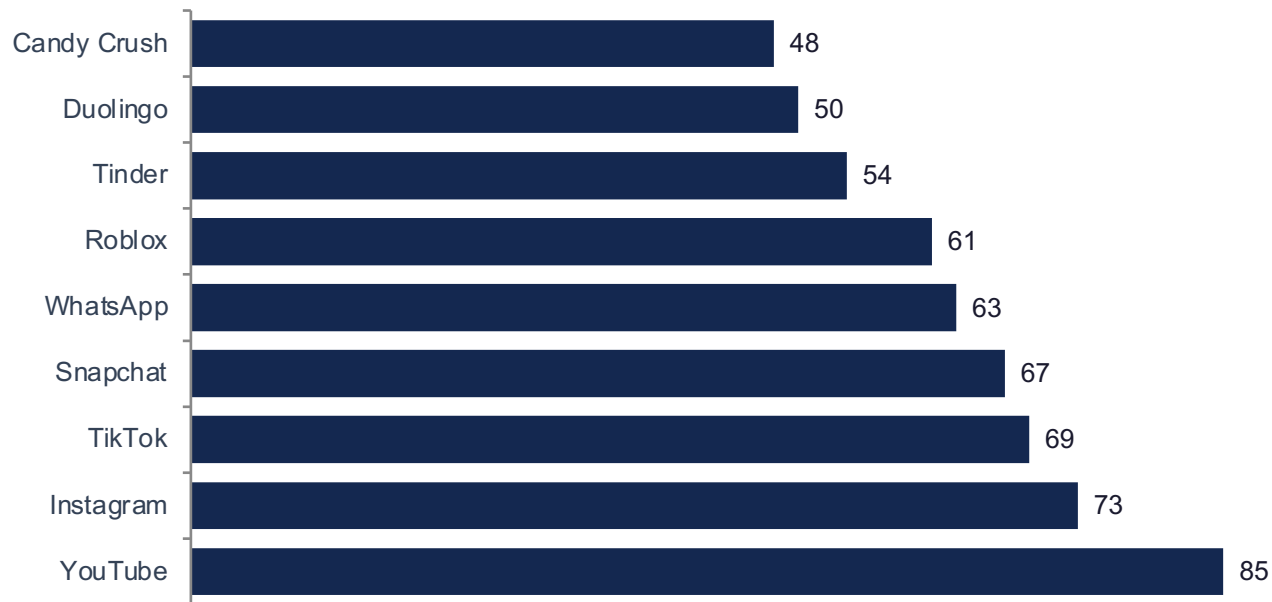
AI-FIRST COMPANIES



Median: 14% — a 3.6× gap

YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly active usage rates for top consumer apps — the high bar AI apps must clear



Median: 63%

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Poor retention and stickiness
- Single modality focus

ACT 2: Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that make workflows stickier
- Multi-modal workflows
- End-to-end problem solving

ACT 2 EXEMPLARS

Harvey — Custom LLMs for elite law firms

Glean — Enterprise workspace search & AI

Character — AI companionship & entertainment

Ava — Digital companions

Market Map Reorganized by Use Case, Not Model Modality

The generative AI market map evolves from technology categories to value-driven use cases, reflecting the Act 1 → Act 2 transition.

ACT 1: By Model Modality

Text

LLMs, chatbots, copywriting

Image

Image generation, editing

Code

Code completion, debugging



ACT 2: By Use Case

Legal

Harvey — Custom LLMs for elite law firms

Enterprise Search

Glean — Crawling & indexing workspaces

Companionship

Character, Ava — Digital companions & entertainment

Applications are increasingly multi-modal — organizing by use case reflects the real value delivery of Act 2 companies.

Key Takeaways: What Separates Winners in Act Two

- 01** Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents, a 3.6× disadvantage.
- 02** Foundation models should be a component of a comprehensive solution, not the entire product.
- 03** Multi-modal, workflow-integrated solutions will win over single-modality wrappers.
- 04** The \$1B+ revenue milestone proves real demand exists despite hype-cycle skepticism.
- 05** Companies solving end-to-end human problems will define Act 2.